Tabletop Turnover

EXECUTIVE SUMMARY

Tabletop Turnover LLC

Problem

Independent restaurants have a big problem with the dinner rush. When the restaurant is full the host do not know when the tables will be open again, so they quote wait times to guests that are guesses and are often wrong. When the wait quoted is too long guests leave and go to another restaurant. When the wait is too short guests get angry because they wait longer than they was told. Also the host sometimes put a party of two at a table for six and then a party of six have to wait even though there was a table, which is a waste of seats and revenue. This problem is very painful for independent restaurants because they have thin margins, usually five percent or less, and every lost table during the busiest hours of the night is lost money that they can not get back. Large chains have corporate systems to deal with this but independent restaurants have only paper, memory and gut feeling. We believe that this is a big problem that is not solved.

Solution

Tabletop Turnover is desktop software that is installed on the computer at the host stand. The software use data analytics and machine learning algorithms to predict the table turn time for every table in the restaurant. It looks at the party size, the time of night, the day of the week, what the guests ordered, and how long similar parties took before. Then it gives the host a recommendation of which party to seat at which table and a more accurate wait time to quote to the guests. The software is simple to use and has a dashboard that shows all the tables in different colors. Our solution is a game changer because it takes the guessing out of the dinner rush and optimizes seating to shorten waits. We chose desktop software and not a web app because many independent restaurants do not have reliable internet at the host stand and they want to own their data. We have built a prototype of the core prediction engine and the dashboard.

Market

The restaurant industry in the United States is very large, with hundreds of billions of dollars in sales every year. There are many hundreds of thousands of restaurants in the country and a majority of them are independent. If just one percent of independent restaurants would buy our software at our price we would have a very big business. We think our target market is the full service independent restaurants with between fifteen and sixty tables that have a wait during the dinner rush. These restaurants are the best fit because they are busy enough to have a wait but not large enough to have a big technology budget. We have not done a formal market study yet but we talked to some restaurant owners and they said the idea is interesting. The market is growing because restaurants are coming back after the pandemic and more owners are looking for technology to help them.

Business Model

We will charge a monthly subscription fee per restaurant. We are thinking of between fifty and one hundred fifty dollars per month but we have not decided the exact price yet. We might also have a setup fee for installing and connecting the software to the restaurant point of sale system. In the future we could also sell extra features like reports, staff scheduling suggestions and a version for restaurants with multiple locations. We could also take a small percent of the extra revenue we help the restaurant make, which is another possibility. We will get customers by visiting restaurants in person, by social media, by partnering with restaurant associations and by word of mouth between owners. Our cost is mostly our own time, some cloud servers for training the model, and some customer support. We believe our margins will be very high because software is scalable and once it is built it costs little to add a new customer.

Competition

The space of restaurant technology is crowded and there are many companies that offer reservation systems, waitlist apps, point of sale systems and table management. Some of these systems have some features about wait time estimates already. Many of them are well funded and have big sales teams and thousands of customers. However we think we are different because we are focused only on the turn time prediction and the seating optimization and because we are desktop software for independent restaurants who do not want to pay for a big expensive system. Our competitors are mostly trying to be everything for every restaurant while we do just one thing very well. We also compete with the status quo, which is a paper chart and an experienced host, and many owners think that works fine. It is possible that the big competitors could add our feature easily, which is a risk we know about, but we believe our focus and our algorithm will keep us ahead.

Team

Devon Kowalczyk is the chief executive officer and is a senior studying business administration at our university. He worked two summers as a server and one summer as a host at a family restaurant so he knows the dinner rush problem personally. He is in charge of sales, strategy and customer discovery.

Marisol Yeboah-Santangelo is the chief technology officer and is a senior studying computer science with a focus on data science at our university. She built the prototype and the prediction model. She has experience with Python and data analysis from her classes and from a research assistant job.

Preston Wuthrich is the chief operating officer and is a junior studying finance at our university. He is in charge of the financial model, legal matters, and operations. He also helped to register the company.

We do not yet have an advisor from the restaurant industry but we are looking for one.

Milestones and Financials

So far we have reached two milestones. First, we registered Tabletop Turnover as a limited liability company. Second, we built a prototype, or minimum viable product, with a working dashboard and a first version of the prediction model. The model was trained on made up data that we generated ourselves and on a small sample of sales records that one restaurant owner shared with us, so we still need to test it with real restaurants in real conditions. We do not have paying customers or revenue yet and we do not have a website yet. We have spent a small amount of our own money on legal registration and cloud costs. Our financial projection is that if we get twenty restaurants in the first year paying one hundred dollars per month we would have a revenue of twenty four thousand dollars, and then it will grow quickly to many more restaurants in year two and year three, reaching a profit by year three. These projections are estimates and they depend on many assumptions that we need to validate.

What We Ask For

We are applying to the business plan competition to get funding, mentorship and visibility for our startup. If we win prize money we would use it to pay for a pilot with five to ten local restaurants, to improve the prediction model with real data, to build a simple website, and to pay for a part of the sales and marketing. We also would like to meet mentors who know the restaurant industry and who can introduce us to restaurant owners and to investors. We believe that Tabletop Turnover has the potential to be a big company that disrupt the way independent restaurants manage their dinner rush, and with the help of this competition we can take the next step from prototype to real customers.